Barclays Bank of Kenya Limited Financial Statements

The Board of Directors of Barclays Bank of Kenya Limited is pleased to announce the unaudited group results for the period ended 30 June 2018

		Bank				Group			
		June 2017 Shs '000 Unaudited	December 2017 Shs '000 Audited	March 2018 Shs '000 Unaudited	June 2018 Shs '000 Unaudited	June 2017 Shs '000 Unaudited	December 2017 Shs '000 Audited	March 2018 Shs '000 Unaudited	June 2018 Shs '000 Unaudited
I	**Statement of financial position**								
a	**Assets**								
1	Cash balances (both local and foreign)	4,769,926	4,719,625	4,544,876	3,716,776	4,769,926	4,719,625	4,544,876	3,716,776
2	Balances due from Central Bank of Kenya	12,682,674	11,634,615	8,510,643	11,999,550	12,682,674	11,634,615	8,510,643	11,999,550
3	Kenya government and other securities held for dealing purposes	4,819,678	9,608,230	17,560,362	22,985,975	4,819,678	9,608,230	17,560,362	22,985,975
4	Financial assets at fair value through profit and loss	-	-	-	-	-	-	-	-
5	Investment securities:	-	-	-	-	-	-	-	-
a)	Held to maturity:	-	-	-	-	-	-	-	-
	a. Kenya government securities	-	-	-	-	-	-	-	-
	b. Other securities	-	-	-	-	-	-	-	-
b)	Available for sale:	52,649,364	58,376,465	66,904,029	70,243,356	52,649,364	58,476,028	67,003,592	70,342,919
	a. Kenya Government securities	52,649,364	58,376,465	66,904,029	70,243,356	52,649,364	58,476,028	67,003,592	70,342,919
	b. Other securities	-	-	-	-	-	-	-	-
6	Deposits and balances due from local banking institutions	1,500,000	1,300,000	4,000,000	3,300,000	1,500,000	1,300,000	4,000,000	3,300,000
7	Deposits and balances due from banking institutions abroad	8,509,947	518,113	346,727	6,587,838	8,509,947	518,113	346,727	6,587,838
8	Tax recoverable	187,176	336,209	-	568,789	189,048	414,659	-	648,250
9	Loans and advances to customers (net)	163,782,554	168,397,417	165,541,052	176,115,166	163,782,554	168,397,417	165,541,052	176,115,166
10	Balances due from banking institutions in the group	3,884,354	3,464,630	7,665,218	9,323,729	3,884,354	3,464,630	7,665,218	9,323,729
11	Investment in associates	-	-	-	-	-	-	-	-
12	Investment in subsidiary companies	362,512	362,761	362,761	362,761	-	-	-	-
13	Investment in joint ventures	-	-	-	-	-	-	-	-
14	Investment properties	-	-	-	-	-	-	-	-
15	Property and equipment	3,063,790	2,744,065	2,654,350	2,548,482	3,063,790	2,744,065	2,654,350	2,548,482
16	Prepaid operating rental leases	55,329	46,394	46,395	46,395	55,329	46,394	46,395	46,395
17	Intangible assets	1,322,365	1,130,854	1,029,330	909,681	1,347,365	1,155,854	1,054,330	955,341
18	Deferred tax	517,986	684,067	1,532,076	1,622,723	524,644	696,948	1,544,957	1,639,148
19	Retirement benefit asset	169,923	-	-	-	169,923	-	-	-
20	Other assets	9,737,969	8,358,721	10,595,269	6,676,090	10,238,252	8,000,799	10,219,041	6,419,286
21	**Total assets**	**268,015,547**	**271,682,166**	**291,293,088**	**317,007,311**	**268,186,848**	**271,177,377**	**290,691,543**	**316,628,855**
b	**Liabilities**								
22	Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-
23	Customers' deposits	189,020,234	186,245,380	193,579,258	217,101,933	188,652,234	185,977,380	193,286,258	216,808,933
24	Deposits and balances due to banking institutions (local)	3,201,182	2,061,578	4,703,106	4,569,068	3,201,182	2,061,578	4,703,106	4,569,068
25	Deposits and balances due to banking institutions (foreign)	792,802	997,877	611,121	865,643	792,802	997,877	611,121	865,643
26	Other money market deposits	-	-	-	-	-	-	-	-
27	Borrowed funds	-	-	-	-	-	-	-	-
28	Balances due to banking institutions in the group	21,575,265	28,831,238	38,103,204	41,894,249	21,575,265	28,831,238	38,103,204	41,894,249
29	Tax payable	-	-	608,904	-	-	-	570,392	-
30	Dividends payable	1,086,307	-	-	1,086,307	1,086,307	-	-	1,086,307
31	Deferred tax liability	-	-	-	-	-	-	-	-
32	Retirement benefit liability	-	3,855	10,150	16,446	-	3,855	10,150	16,446
33	Other liabilities	12,002,223	9,983,070	10,069,385	11,359,577	12,092,329	9,206,313	9,162,714	10,581,313
34	Total liabilities	**227,678,013**	**228,122,998**	**247,685,128**	**276,893,223**	**227,400,119**	**227,078,241**	**246,446,945**	**275,821,959**
c	**Shareholders' funds**								
35	Paid up/assigned capital	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768
36	Share premium/(discount)	-	-	-	-	-	-	-	-
37	Revaluation reserves	228,308	250,791	265,086	409,248	228,308	250,485	264,780	408,085
38	Retained earnings/(accumulated losses)	37,208,133	36,051,918	36,105,958	36,806,068	37,657,328	36,592,192	36,742,902	37,500,039
39	Statutory loan loss reserve	-	-	-	-	-	-	-	-
40	Other reserves	185,325	195,462	175,919	183,004	185,325	195,462	175,919	183,004
41	Proposed dividend	-	4,345,229	4,345,229	-	-	4,345,229	4,345,229	-
42	Capital grants	-	-	-	-	-	-	-	-
43	Total shareholders' funds	**40,337,534**	**43,559,168**	**43,607,960**	**40,114,088**	**40,786,729**	**44,099,136**	**44,244,598**	**40,806,896**
44	Minority interest	-	-	-	-	-	-	-	-
45	Total liabilities and total shareholders funds	**268,015,547**	**271,682,166**	**291,293,088**	**317,007,311**	**268,186,848**	**271,177,377**	**290,691,543**	**316,628,855**
II	**Statement of comprehensive income**								
1	**Interest income**								
1.1	Loans and advances to customers	10,487,314	21,259,156	5,224,837	10,549,748	10,487,314	21,259,156	5,224,837	10,549,748
1.2	Government securities	2,586,698	5,770,087	1,669,058	3,516,094	2,586,698	5,775,128	1,671,807	3,520,758
1.3	Deposits and placements with banking institutions	49,127	117,146	18,175	68,304	49,127	117,146	18,175	68,304
1.4	Other interest income	13,674	19,784	7,845	-	13,674	19,784	7,845	-
1.5	Total interest income	**13,136,813**	**27,166,173**	**6,919,915**	**14,134,146**	**13,136,813**	**27,171,214**	**6,922,664**	**14,138,810**
2	**Interest expenses**								
2.1	Customer deposits	2,316,338	4,834,902	1,273,813	2,756,198	2,316,338	4,834,902	1,273,813	2,756,199
2.2	Deposits and placements with banking institutions	276,375	556,064	191,646	427,647	276,375	534,890	186,000	416,090
2.3	Other interest expenses	-	-	-	-	-	-	-	-
2.4	Total interest expenses	**2,592,713**	**5,390,966**	**1,465,459**	**3,183,845**	**2,592,713**	**5,369,792**	**1,459,813**	**3,172,289**
3	Net interest income	**10,544,100**	**21,775,207**	**5,454,456**	**10,950,301**	**10,544,100**	**21,801,422**	**5,462,851**	**10,966,521**
4	**Non - interest income**								
4.1	Fees and commissions income on loans & advances	322,464	635,895	172,497	474,321	322,464	635,895	172,497	474,321
4.2	Other fees and commissions	2,118,664	4,186,273	1,027,147	2,018,495	2,390,961	4,636,524	1,188,482	2,291,059
4.3	Foreign exchange trading income	1,480,233	2,863,594	759,611	1,641,627	1,480,233	2,863,594	759,611	1,641,627
4.4	Dividend income	-	-	-	-	-	-	-	-
4.5	Other income	191,860	321,117	129,496	289,923	200,818	321,116	129,497	289,924
4.6	Total non-interest income	**4,113,221**	**8,006,879**	**2,088,751**	**4,424,366**	**4,394,476**	**8,457,129**	**2,250,087**	**4,696,931**
5	Total operating income	**14,657,321**	**29,782,086**	**7,543,207**	**15,374,667**	**14,938,576**	**30,258,551**	**7,712,938**	**15,663,452**
6	**Operating expenses**								
6.1	Loan loss provision	1,353,470	3,115,113	575,482	1,716,942	1,353,470	3,115,113	575,482	1,716,942
6.2	Staff costs	5,073,526	10,011,544	2,727,470	5,051,770	5,123,834	10,113,604	2,754,664	5,104,533
6.3	Directors emoluments	68,950	141,175	36,243	73,169	68,950	141,175	36,243	74,452
6.4	Rental charge	627,406	1,335,579	277,693	590,563	632,688	1,338,142	279,066	595,938
6.5	Depreciation on property and equipment	398,001	766,918	210,727	421,535	398,001	766,918	210,727	421,535
6.6	Amortisation charges	245,733	465,018	105,132	204,593	245,733	465,018	105,132	204,593
6.7	Other operating expenses	1,960,444	3,940,875	1,034,464	2,250,730	1,963,733	3,957,602	1,039,030	2,259,642
7	Total operating expenses	**9,727,530**	**19,776,222**	**4,967,211**	**10,309,302**	**9,786,409**	**19,897,572**	**5,000,344**	**10,377,635**
	Profit before tax and exceptional items	**4,929,791**	**10,005,864**	**2,575,996**	**5,065,365**	**5,152,167**	**10,360,979**	**2,712,594**	**5,285,817**
8	Exceptional items	-	-	-	-	-	-	-	-
9	Profit after exceptional items	**4,929,791**	**10,005,864**	**2,575,996**	**5,065,365**	**5,152,167**	**10,360,979**	**2,712,594**	**5,285,817**
10	Current tax	(1,633,122)	(3,526,653)	(937,249)	(1,706,134)	(1,702,235)	(3,643,519)	(985,051)	(1,775,813)
11	Deferred tax	90,305	200,366	146,389	248,521	92,706	208,859	154,882	252,065
12	Profit after tax and exceptional items	**3,386,974**	**6,679,577**	**1,785,136**	**3,607,752**	**3,542,638**	**6,926,319**	**1,882,425**	**3,762,069**
13	**Other comprehensive income**								
13.1	Gains/(losses) from translating the financial statements of foreign operations								
13.2	Fair value changes in available for sale financial assets	543,523	575,641	20,422	226,367	543,523	575,204	19,984	225,143
13.3	Revaluation surplus on property, plant and equipment								
13.4	Share of other comprehensive income of associates								
13.5	Income tax relating to components of other comprehensive income	(163,057)	(172,692)	(6,127)	(67,910)	(163,057)	(172,561)	(5,995)	(67,543)
14	Other comprehensive income for the year net of tax	380,466	402,949	14,295	158,457	380,466	402,643	13,989	157,600
15	Total comprehensive income for the year	**3,767,440**	**7,082,526**	**1,799,431**	**3,766,209**	**3,923,104**	**7,328,962**	**1,896,414**	**3,919,669**
	Earnings per share (Shs)	0.62	1.23	0.33	0.66	0.65	1.28	0.35	0.69
	Dividends per share (Shs)	0.20	1.00		0.20	0.20	1.00		0.20

		Bank			
		June 2017 Shs '000 Unaudited	December 2017 Shs '000 Audited	March 2018 Shs '000 Unaudited	June 2018 Shs '000 Unaudited
III	**Other disclosures**				
1)	**Non-performing loans and advances**				
a)	Gross non-performing loans and advances	11,999,105	12,614,723	12,629,491	14,357,777
b)	Less: Interest in suspense	3,233,288	3,256,066	3,332,688	3,426,117
c)	Total non performing loans and advances	8,765,817	9,358,657	9,296,803	10,931,660
d)	Less: loan loss provisions	4,980,517	5,570,676	5,717,974	6,368,460
e)	Net non performing loans(c-d)	3,785,300	3,787,981	3,578,829	4,563,200
f)	Discounted value of securities	865,724	1,656,019	1,700,954	972,774
g)	**Net NPLs (excess) / exposure (e-f)**	**2,919,576**	**2,131,962**	**1,877,875**	**3,590,426**
2)	**Insider loans and advances**				
a)	Directors ,shareholders and associates	45,855	44,114	42,866	42,120
b)	Employees	12,526,856	11,674,004	11,233,471	11,051,378
c)	**Total insider loans and advances**	**12,572,711**	**11,718,118**	**11,276,337**	**11,093,498**
3)	**Off balance sheet items**				
a)	Letters of credit ,guarantees, acceptances	27,411,100	24,081,886	24,039,028	30,228,325
b)	Forwards, swaps and options	37,014,721	44,527,135	49,410,773	49,315,853
c)	Other contingent liabilities	-	-	-	-
	Total contingent liabilities	**64,425,821**	**68,609,021**	**73,449,801**	**79,544,178**
4)	**Capital strength**				
a)	Core capital	38,230,413	38,767,686	37,929,158	37,717,960
b)	Minimum statutory capital	1,000,000	1,000,000	1,000,000	1,000,000
C)	**Excess / (deficiency)**	**37,230,413**	**37,767,686**	**36,929,158**	**36,717,960**
d)	Supplementary capital	5,187,256	5,166,021	5,038,949	5,045,494
e)	**Total capital**	**43,417,669**	**43,933,707**	**42,968,107**	**42,763,454**
f)	**Total risk weighted assets**	**243,694,770**	**243,728,272**	**250,482,913**	**256,715,452**
g)	Core capital / total deposit liabilities	20.3%	20.8%	19.6%	17.6%
h)	Minimum statutory ratio	8.0%	8.0%	8.0%	8.0%
i)	**Excess / (deficiency)**	12.3%	12.8%	11.6%	9.6%
j)	Core capital / total risk weighted assets	15.7%	15.9%	15.1%	14.7%
k)	Minimum statutory ratio	10.5%	10.5%	10.5%	10.5%
l)	**Excess / (deficiency)**	5.2%	5.4%	4.6%	4.2%
m)	Total capital / total risk weighted assets	17.8%	18.0%	17.2%	16.7%
n)	Minimum statutory ratio	14.5%	14.5%	14.5%	14.5%
o)	**Excess / (deficiency)**	3.3%	3.5%	2.7%	2.2%
p)	Adjusted core capital / total deposit liabilities			21.0%	17.9%
q)	Adjusted core capital / total risk weighted assets			16.2%	15.0%
r)	Adjusted total capital / total risk weighted assets			18.2%	16.9%
5)	**Liquidity**				
a)	Liquidity ratio	36.1%	33.4%	36.2%	38.3%
b)	Minimum statutory ratio	20.0%	20.0%	20.0%	20.0%
c)	**Excess / (deficiency)**	16.1%	13.4%	16.2%	18.3%

Summary consolidated Statement of Changes in Equity

	Share capital Shs '000	Regulatory reserve & other reserves Shs '000	Retained earnings Shs '000	Proposed dividends Shs '000	Total Shs '000
As at 1 January 2018	2,715,768	445,947	36,592,192	4,345,229	44,099,136
Profit for the year	-	-	3,762,069	-	3,762,069
Other comprehensive income	-	157,600	(1,767,915)	-	(1,610,315)
Issue of ordinary shares under share-based payment plans	-	(12,458)	-	-	(12,458)
Final for 2017 paid	-	-	-	(4,345,229)	(4,345,229)
Interim dividend	-	-	(1,086,307)	-	(1,086,307)
Balance as at 30 June 2018	**2,715,768**	**591,089**	**37,500,039**	**-**	**40,806,896**

Summary consolidated Statement of Cash flows

	June 2018 Unaudited Shs '000	December 2017 Audited Shs '000	June 2017 Unaudited Shs '000
Net Cashflows from/(used in operating activities)	12,514,224	4,512,400	21,815,074
Net Cash used in investing activities	(198,976)	(481,750)	(400,771)
Net Cash used in financing activities	(4,345,229)	(5,431,536)	(4,345,229)
Net decrease in cash and cash equivalents	7,970,019	(1,400,886)	17,069,074
Cash and cash equivalent at 1 January	(10,330,495)	(8,929,609)	(8,929,609)
Cash and cash equivalent at 30 June	**(2,360,476)**	**(10,330,495)**	**8,139,465**

Message from the Directors:

The Board of Directors of Barclays Bank of Kenya Limited have resolved to declare an interim dividend for the year 2018 for Shs 0.20 per ordinary share of the company to be paid on or about Friday, October 12, 2018 to shareholders registered at close of business on Friday, September 7, 2018.

These financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institution's website www.barclays co.ke. They may also be accessed at institution's head office located at West End Building, Waiyaki way.

They were approved by the Board of Directors on Monday 13th August, 2018 and signed on its behalf by:

Charles Muchene
Chairman

Jeremy Awori
Managing Director

BARCLAYS

Part of the Absa family

Barclays Bank of Kenya is regulated by the Central Bank of Kenya